Republic of the Philippines
City of Davao
Office of the Sangguniang Panlungsod
20th City Council
Committee Legislative Hearing Draft
Series of 2026

PRESENT:

Vice Mayor J. Melchor B. Quitain Jr.	- Presiding Officer
Councilor Marissa S. Abella	Councilor Louie John J. Bonguyan
Councilor Nilo M. Abellera Jr.	Councilor Pilar C. Braga
Councilor Luna Maria Dominique S. Acosta	Councilor Jonard C. Dayap
Councilor Bernard E. Al-ag	Councilor Edgar P. Ibuyan Jr.
Councilor Wilberto E. Al-ag	Councilor Richlyn N. Justol-Baguilod
Councilor Al Ryan S. Alejandre	Councilor Diosdado Angelo Junior R. Mahipus
Councilor Dante L. Apostol Sr.	Councilor Bonz Andre A. Militar
Councilor Conrado C. Baluran	Councilor Temujin B. Ocampo
Councilor Jessica M. Bonguyan	Councilor Myrna G. L'Dalodo-Ortiz

ABSENT:

Councilor Alberto T. Ungab	- On Official Business
Councilor Lorenzo Benjamin D. Villafuerte	- On Leave

PROPOSED ORDINANCE NO. 2026-10, SERIES OF 2026

Series of 2026

AN ORDINANCE AMENDING CERTAIN PROVISIONS OF THE 2005 REVENUE CODE OF DAVAO CITY, ADJUSTING REGULATORY FEES, LEVYING TAXES ON CERTAIN CORPORATE ACTIVITIES AND PROPERTIES, AND FOR OTHER PURPOSES

Be it ordained by the Sangguniang Panlungsod of Davao City, in session assembled, that:

SECTION 1. TITLE - This Ordinance shall be known and cited as the '2026 Omnibus Revenue Code Amendments Ordinance of Davao City'.

SECTION 2. DECLARATION OF POLICY - Under Section 129 and Section 151 of Republic Act No. 7160 (The Local Government Code of 1991), the City of Davao is authorized to create its own sources of revenues, levy taxes, fees, and charges for public purposes, and adjust its revenue schedules to finance basic public services.

It is the policy of the City Government of Davao to maintain an equitable, progressive, and efficient revenue collection system that supports infrastructure and social development while remaining strictly within the statutory taxing powers granted by law.

SECTION 3. AMENDMENT TO FIXED REGULATORY PERMIT FEES - Section 45 of the 2005 Revenue Code of Davao City is hereby amended to adjust the annual regulatory permit fees on commercial establishments to reflect the reasonable administrative cost of regulation and inspection:

(a) Wholesale and retail merchants with capital of more than P500,000: One Thousand Pesos (Php 1,000.00);

(b) Manufacturing and industrial processing plants: Two Thousand Five Hundred Pesos (Php 2,500.00);

(c) Commercial banks and financial intermediaries: Three Thousand Pesos (Php 3,000.00).

SECTION 4. ADJUSTMENT OF SANITATION AND HEALTH INSPECTION FEES - Section 52 of the 2005 Revenue Code of Davao City is hereby amended to prescribe updated annual sanitary inspection fees for all food handling and hospitality businesses operating in the city.

All food establishments, restaurants, and bakeries shall pay an annual sanitary inspection fee of Three Hundred Pesos (Php 300.00) to cover the cost of hygiene certification by the City Health Office.

SECTION 5. MAYOR'S PERMIT ON SPECIAL BUSINESS OCCUPATIONS - Section 61 of the 2005 Revenue Code of Davao City is hereby amended to require individuals engaged in specialized commercial trades, security agency operations, and private warehouse leasing to secure an annual Mayor's Permit clearance prior to operation in Davao City.

SECTION 6. LEVY ON CORPORATE DIVIDENDS - Section 68 of the 2005 Revenue Code of Davao City is hereby amended to levy an annual business tax of two percent (2%) on the gross amount of dividends and investment yields distributed by corporations and holding companies maintaining their principal office or branch in Davao City.

The City Treasurer is authorized to assess and collect this tax from corporate entities at the end of each fiscal dividend declaration period.

SECTION 7. REAL PROPERTY TAX ON PENSION ASSETS - Section 112 of the 2005 Revenue Code of Davao City is hereby amended to provide that real properties, commercial lands, and investment assets situated within Davao City belonging to or held in trust by national pension and social security institutions, including the Government Service Insurance System (GSIS) and the Social Security System (SSS), shall be subject to the basic real property tax and special education fund tax levied by the City Government.

All previous local tax exemptions granted to such statutory pension properties are hereby revoked.

SECTION 8. DELINQUENCY SURCHARGE AND INTEREST - Section 125 of the 2005 Revenue Code is amended to provide that failure to pay any local tax or fee on or before the twentieth (20th) day of January of each calendar year shall subject the taxpayer to a surcharge of twenty-five percent (25%) of the amount due, plus interest at the rate of two percent (2%) per month until paid, up to a maximum period of thirty-six (36) months.

SECTION 9. IMPLEMENTING OFFICE - The City Treasurer's Office, in coordination with the City Assessor's Office and the Business Bureau, shall implement and administer the collection of taxes, fees, and charges prescribed under this Ordinance.

The City Treasurer shall formulate administrative guidelines for tax assessments.

SECTION 10. PENAL SANCTIONS - Any person who willfully violates any provision of this Ordinance, or fails to pay assessed local taxes within the prescribed period, shall, upon conviction, be punished by a fine of Five Thousand Pesos (Php 5,000.00) or imprisonment of up to six (6) months, or both, at the discretion of the court.

SECTION 11. SEPARABILITY CLAUSE - If any section, subsection, or provision of this Ordinance is declared unconstitutional or invalid by a court of competent jurisdiction, the remaining sections and provisions hereof not affected thereby shall continue in full force and effect.

SECTION 12. REPEALING CLAUSE - All city ordinances, executive orders, or rules and regulations inconsistent with the provisions of this Ordinance are hereby repealed or modified accordingly.

SECTION 13. EFFECTIVITY - This Ordinance shall take effect on January 1, 2027, following its approval and complete publication in a newspaper of local circulation in Davao City.

ENACTED on Committee Review, by the Sangguniang Panlungsod of Davao City.

CERTIFIED CORRECT:

CHARITO N. SANTOS
Secretary to the Sangguniang Panlungsod
(City Government Department Head II)

ATTESTED:

J. MELCHOR B. QUITAIN JR.
Vice Mayor
Presiding Officer

APPROVED: _____, 2026

SEBASTIAN Z. DUTERTE
City Mayor

ATTESTED:

ATTY. FRANCIS MARK H. LAYOG
Acting City Administrator